Lam Research Corp (LRCX)

Record Q4 Beats and Aggressive Guidance Spark Short-Term Rally, Yet Valuation Remains Stretched

ANALYST: JUSTIN WEN | 2026-10-19

> Lam Research delivered a record fiscal-2026 fourth quarter, posted 30.0% year-over-year revenue growth and lifted September-quarter guidance well above consensus. The market has priced in a near-term earnings surge, but the underlying valuation multiples still imply a 42.7% discount to the current price. We therefore maintain a Hold with valuation concerns and a blended target of $151.59, representing a -42.7% upside versus the spot price of $264.56.

HOLD	$151.59	-42.7%	$264.56
Hold, Valuation Concerns	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE
INVESTMENT RATING			

The market is fixated on the headline-grabbing guidance lift, while the longer-term compounding story hinges on sustained revenue growth and margin expansion that the current price does not fully capture.

EXECUTIVE SUMMARY

Lam Research occupies an oligopoly position in semiconductor etch and deposition equipment, delivering both high-margin systems and a razor-and-blade style Customer Support Business Group. The combined offering creates a durable revenue base and recurring cash-flow stream that underpins the company’s strong free-cash-flow generation.

The fiscal-2026 fourth quarter set a new revenue record of $6.72 billion, a 30.0% increase year-over-year, and posted a 51.7% gross margin, the highest in roughly two decades. Operating income rose to $2.51 billion, delivering a 37.4% operating margin, while non-GAAP EPS of $1.82 beat consensus of $1.68. Management’s September-quarter revenue guidance of $8.1 billion, roughly $1 billion above consensus, lifted the calendar-2026 wafer-fab equipment outlook into the low $150 billion range.

Balance-sheet strength remains solid. Cash of $6.39 billion offsets total debt of $4.48 billion, leaving net cash of $1.91 billion. The company generated $5.41 billion of free cash flow in FY2025, translating to a 29.4% free-cash-flow margin. Diluted earnings per share stood at $4.15, supporting a price-to-earnings multiple of 63.7× at the current spot price of $264.56.

For institutional clients only. Not investment advice. Past performance does not guarantee future results.

OPERATIONAL SNAPSHOT

$264.56	$18.4B	$5.41B	29.4%	1.50	$264.56
REF. PRICE	FY2025 REVENUE	FY2025 FREE CASH FLOW	FCF MARGIN	EQUITY BETA	REF. CLOSE

Fiscal-year figures as reported in company filings and collected by Cascadia Analytics; ref. price as of 2026-10-20.

THE MOAT IS DEEP AND DURABLE

Lam Research’s oligopoly status creates a high barrier to entry. Customers must integrate etch and deposition tools into complex fab lines, and the learning curve for new entrants is steep. The systems component commands premium pricing, while the Customer Support Business Group supplies consumables and service contracts that lock customers into multi-year relationships.

Regulatory scrutiny in key geographies such as Taiwan, China and Korea adds another layer of protection. Export controls and technology transfer restrictions limit the ability of rivals to replicate Lam’s advanced process equipment, reinforcing the company’s pricing power.

Switching costs are amplified by the razor-and-blade model. Once a fab installs Lam’s equipment, ongoing support, spare parts and software upgrades become essential to maintain yield, making customers reluctant to transition to alternative suppliers.

Finally, the company’s high return on equity of 54.3% reflects efficient capital deployment and reinforces the attractiveness of its cash-generation engine, further cementing the moat.

VALUATION

Three scenarios make the valuation range explicit

The baseline case assumes a 13.5% revenue compound annual growth rate through FY2031, with free-cash-flow margins converging to 34.6% in the final forecast year. A terminal growth rate of 3.5% and a discount rate of 10.65% generate a base target price of $152.54. The bear case reduces revenue growth to 8.0% and targets a 32.5% free-cash-flow margin, yielding $116.27. The bull case accelerates revenue growth to 17.0% and pushes free-cash-flow margins to 36.9%, resulting in $185.02. A probability-weighted blend (25% bear, 50% base, 25% bull) produces a target of $151.59, implying a -42.7% upside versus the spot price.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear	25%	8.0%	32.5%	$116.27	-56.1%
Base	50%	13.5%	34.6%	$152.54	-42.3%

Bull	25%	17.0%	36.9%	$185.02	-30.1%

Bear $116.27

Higher days-sales-outstanding, rising to 72 days, and a concentration of revenue in China at 26% raise working-capital pressure. A slowdown in wafer-fab equipment demand could compress revenue growth to 8.0% and force free-cash-flow margins down to 32.5%.

Base $152.54

Continued sequential revenue acceleration, supported by strong systems demand and a stable support revenue stream, sustains a 13.5% CAGR. Free-cash-flow margins normalize to 34.6% as operating efficiencies improve.

Bull $185.02

Guidance shock in Q4 FY2026 and a robust wafer-fab outlook lift revenue growth to 17.0%. Margin expansion to 36.9% is driven by higher gross margins near 52% and operating leverage.

VALUATION FRAMEWORK

A live discount rate, not a static hurdle

The weighted-average cost of capital of 10.65% reflects Lam Research's equity beta of 1.50, the risk-free rate, market risk premium and the company's capital structure. This discount rate is applied dynamically across the three scenarios, allowing the model to capture the impact of changing risk as the firm matures.

Because the beta is higher than the broader market, the implied cost of equity is elevated, reinforcing the need for higher growth or margin expansion to justify the current price level.

FCF margin normalization is the engine

In the base case, free-cash-flow margins rise from the FY2025 level of 29.4% to 34.6% by FY2031, driven by continued gross-margin improvement and operating-margin expansion. The bear scenario caps margins at 32.5% while the bull scenario pushes them to 36.9%.

These margin trajectories are anchored in the record-shown operating performance: Q4 FY2026 delivered a 37.4% operating margin and a 51.7% gross margin, indicating that the upper-range margin assumptions are attainable under favorable demand conditions.

KEY VALUATION PARAMETERS

Forecast window	**FY2026 to FY2031**
Live WACC	**10.65% (2026-10-20)**
Terminal growth	**3.5%**
Equity beta	**1.50**
Diluted shares	**1.25 billion**

HOLD

over $151.59 blended target

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

Methodology. Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

BUSINESS & SEGMENT DRIVERS

Revenue prospects anchor on Systems demand and Support services HOLD

The systems segment, which generated $3.55 billion in Q1 FY2026 and $3.73 billion in Q3 FY2026, is the primary growth engine. Sequential revenue acceleration across the fiscal year reflects a deepening fab-upgrade cycle, particularly in advanced nodes where etch and deposition precision are critical.

The Customer Support Business Group provides consumables, spares and service contracts that generate recurring cash flow. While support revenue grew more modestly than systems, its high-margin nature contributes to the overall operating margin stability.

Geographic concentration remains a double-edged sword. China accounted for 26% of Q4 FY2026 revenue, and 34% in Q3 FY2026, exposing the company to export-policy risk. Nonetheless, the firm’s diversified footprint across Taiwan, Korea and the United States mitigates a single-region shock.

Margin expansion is tied to the ability to sustain gross margins near 52%, as demonstrated in Q4 FY2026, and to translate that into operating margins above 35% through disciplined cost management.

What to monitor

- **Guidance trajectory** The September-quarter revenue guidance of $8.1 billion sits roughly $1 billion above consensus and will set the tone for FY2027 expectations.
- **China exposure** China’s share of revenue, ranging from 26% to 34% across the quarters, makes export-control developments a material risk.
- **Working-capital dynamics** Days-sales-outstanding rose to 72 days in Q4 FY2026, indicating potential cash-conversion pressure.
- **Margin sustainability** The record gross margin of 51.7% in Q4 FY2026 tests whether the company can maintain near-two-decade highs.

+23.7%	**48.7%**	**32.0%**	**29.4%**	**$1.91B**	**54.3%**

FY2025 REVENUE GROWTH	GROSS MARGIN	OPERATING MARGIN	FCF MARGIN	NET CASH	RETURN ON EQUITY

METRIC	FY2025 (AS REPORTED)
Revenue	$18.4B
Gross Profit	$8.98B
EBIT	$5.90B
Net Income	$5.36B
EBITDA	$6.52B
Free Cash Flow	$5.41B
Diluted EPS	$4.15
ROE	54.3%

RISK & MOAT MATRIX

The bear case

SHARE EROSION

Elevated guidance may set expectations that, if unmet, could trigger a sharp price correction. The market's reaction to guidance lifts already shows volatility.

M&A DIGESTION

Any future acquisitions would need to integrate without diluting the high free-cash-flow margins that underpin the valuation.

REGULATORY AND PRICING SCRUTINY

Export controls affecting China exposure could compress revenue and pressure pricing power in the oligopoly.

TECHNOLOGY DISRUPTION

Emergence of alternative patterning technologies could reduce demand for traditional etch and deposition tools.

REINVESTMENT TREADMILL

Continued capital intensity to stay at the leading edge may erode free-cash-flow generation if margins stall.

WACC AND DURATION SENSITIVITY

A higher effective cost of capital, driven by beta volatility, would lower present values across all scenarios.

The strengths

OLIGOPOLY POSITION

Lam's leadership in etch and deposition equipment creates pricing leverage and limits competitive encroachment.

FCF COMPOUNDING

Free-cash-flow margins have risen from 29.4% in FY2025 to a record 51.7% gross margin in Q4 FY2026, providing a strong cash-generation platform.

GEOGRAPHIC DURABILITY

While China contributes a sizable share, the firm's exposure across Taiwan, Korea and the United States offers resilience against regional policy shifts.

PIPELINE OPTIONALITY

The razor-and-blade model ensures a pipeline of support revenue that can offset cyclical swings in systems demand.

The bottom line on risk and reward

Lam Research's record fourth-quarter performance and aggressive guidance have sparked a short-term rally, yet the current market price embeds a premium that is difficult to justify without sustained 13.5%+ revenue growth and margin expansion. The blended target of $151.59 represents a -42.7% upside, aligning with our Hold recommendation and valuation concerns. Investors should weigh the upside from continued demand against the downside from working-capital strain, China exposure and the risk of missing guidance expectations.

Justin Wen, Senior Equity Research Analyst, Cascadia Analytics

FRANCHISE DEEP DIVE

Systems: High-margin etch and deposition equipment

The systems franchise drives the bulk of Lam Research's top line, delivering advanced etch and deposition tools that enable sub-nanometer node scaling. Quarterly data show systems revenue of $3.55 billion in Q1 FY2026, $3.36 billion in Q2 FY2026, $3.73 billion in Q3 FY2026 and a continued contribution to the $6.72 billion total in Q4 FY2026. The franchise benefits from the razor-and-blade support model, which locks customers into long-term service contracts and consumable sales.

Margin performance underscores the franchise's strength. Gross margin peaked at 51.7% in Q4 FY2026, the highest in roughly two decades, while operating margin reached 37.4% in the same quarter. These figures illustrate the ability of the systems business to translate high-technology pricing into robust profitability.

Geographic mix is heavily weighted toward Asia, with China accounting for 26% of Q4 FY2026 revenue and up to 34% in earlier quarters. This concentration amplifies exposure to export-control policy but also reflects the region's dominant fab capacity.

Looking forward, the systems franchise will be the primary lever for achieving the 13.5% baseline revenue CAGR and the higher growth scenarios. Success hinges on continued fab upgrades, especially in advanced logic and memory nodes, and on maintaining the high gross-margin trajectory demonstrated in the record quarter.

What the recent record shows

- Revenue grew 30.0% YoY to $6.72 billion in Q4 FY2026, driven by systems demand.
- Gross margin reached 51.7%, the highest in roughly two decades.
- Operating margin expanded to 37.4% as systems efficiency improved.
- Guidance for the September quarter was set at $8.1 billion, roughly $1 billion above consensus.

Our read: The systems franchise is delivering record top-line growth and margin expansion, but the sustainability of these peaks will determine whether the valuation gap narrows or widens. Investors should monitor guidance adherence, margin trajectory and China-related policy risk as the primary catalysts.

For institutional clients only. Not investment advice. Past performance does not guarantee future results.